Barclays Bank of Kenya Limited Financial Statements

The Board of Directors of Barclays Bank of Kenya Limited is pleased to announce the unaudited group results for the period ended 31 March 2019

		Bank			Group		
		March 2018 Shs '000 Unaudited	December 2018 Shs '000 Audited	March 2019 Shs '000 Unaudited	March 2018 Shs '000 Unaudited	December 2018 Shs '000 Audited	March 2019 Shs '000 Unaudited
I	**Statement of financial position**						
A	**Assets**						
1	Cash balances (both local and foreign)	4,544,876	5,814,633	4,499,813	4,544,876	5,814,633	4,499,813
2	Balances due from Central Bank of Kenya	8,510,643	17,716,625	17,578,406	8,510,643	17,716,625	17,578,406
3	Kenya government and other securities held for dealing purposes	17,560,362	29,708,449	33,840,168	17,560,362	29,708,449	33,840,168
4	Financial assets at fair value through profit and loss	-	-	-	-	-	-
5	Investment securities:	-	-	-	-	-	-
a)	Held to maturity:	-	-	-	-	-	-
	a. Kenya government securities	-	-	-	-	-	-
	b. Other securities	-	-	-	-	-	-
b)	Available for sale:	66,904,029	63,120,004	82,693,442	67,003,592	63,230,224	83,110,015
	a. Kenya government securities	66,904,029	63,120,004	82,693,442	67,003,592	63,230,224	83,110,015
	b. Other securities	-	-	-	-	-	-
6	Deposits and balances due from local banking institutions	4,000,000	1,000,000	102,295	4,000,000	1,000,000	102,295
7	Deposits and balances due from banking institutions abroad	346,727	5,571,788	2,457,444	346,727	5,571,788	2,457,444
8	Tax recoverable	-	-	-	-	-	-
9	Loans and advances to customers (net)	165,541,052	177,353,969	180,498,811	165,541,052	177,353,969	180,498,811
10	Balances due from banking institutions in the group	7,665,218	9,126,358	9,142,333	7,665,218	9,126,358	9,142,333
11	Investment in associates	-	-	-	-	-	-
12	Investment in subsidiary companies	362,761	362,761	362,761	-	-	-
13	Investment in joint ventures	-	-	-	-	-	-
14	Investment properties	-	-	-	-	-	-
15	Property and equipment	2,654,350	2,336,349	3,167,197	2,654,350	2,336,654	3,167,497
16	Prepaid operating rental leases	46,395	45,486	45,486	46,395	45,486	45,486
17	Intangible assets	1,029,330	830,570	745,775	1,054,330	878,291	805,246
18	Deferred tax	1,532,076	2,156,682	2,468,813	1,544,957	2,177,325	2,497,036
19	Retirement benefit asset	-	-	-	-	-	-
20	Other assets	10,595,269	10,219,063	7,900,116	10,219,041	9,879,864	7,683,582
21	**Total assets**	**291,293,088**	**325,362,737**	**345,502,860**	**290,691,543**	**324,839,666**	**345,428,132**
B	**Liabilities**						
22	Balances due to Central Bank of Kenya	-	-	-	-	-	-
23	Customers' deposits	193,579,258	207,725,834	223,982,507	193,286,258	207,407,834	223,982,507
24	Deposits and balances due to banking institutions (local)	4,703,106	4,699,903	6,304,816	4,703,106	4,699,903	6,304,816
25	Deposits and balances due to banking institutions (foreign)	611,121	607,722	940,340	611,121	607,722	940,340
26	Other money market deposits	-	-	-	-	-	-
27	Borrowed funds	-	-	-	-	-	-
28	Balances due to banking institutions in the group	38,103,204	57,034,375	55,638,779	38,103,204	57,034,375	55,638,779
29	Tax payable	608,904	96,425	1,229,738	570,392	25,803	1,205,757
30	Dividends payable	-	-	-	-	-	-
31	Deferred tax liability	-	-	-	-	-	-
32	Retirement benefit liability	10,150	-	5,424	10,150	-	5,424
33	Other liabilities	10,069,385	11,805,035	12,257,992	9,162,714	10,857,085	11,295,816
34	**Total liabilities**	**247,685,128**	**281,969,294**	**300,359,596**	**246,446,945**	**280,632,722**	**299,373,439**
C	**Shareholders' funds**						
35	Paid up/assigned capital	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768	2,715,768
36	Share premium/(discount)	-	-	-	-	-	-
37	Revaluation reserves	265,086	528,656	671,353	264,780	529,956	673,747
38	Retained earnings/(accumulated losses)	36,105,958	35,072,273	36,673,782	36,742,902	35,884,474	37,582,817
39	Statutory loan loss reserve	-	-	-	-	-	-
40	Other reserves	175,919	188,364	193,979	175,919	188,364	193,979
41	Proposed dividend	4,345,229	4,888,382	4,888,382	4,345,229	4,888,382	4,888,382
42	Capital grants	-	-	-	-	-	-
43	**Total shareholders' funds**	**43,607,960**	**43,393,443**	**45,143,264**	**44,244,598**	**44,206,944**	**46,054,693**
44	Minority interest	-	-	-	-	-	-
45	**Total liabilities and total shareholders funds**	**291,293,088**	**325,362,737**	**345,502,860**	**290,691,543**	**324,839,666**	**345,428,132**
II	**Statement of comprehensive income**						
1	**Interest income**						
1.1	Loans and advances to customers	5,224,837	21,527,991	5,415,186	5,224,837	21,527,991	5,415,186
1.2	Government securities	1,669,058	7,372,947	1,933,065	1,671,807	7,382,300	1,937,435
1.3	Deposits and placements with banking institutions	18,175	151,002	63,632	18,175	151,002	63,632
1.4	Other interest income	7,845	-	-	7,845	-	-
1.5	**Total interest income**	**6,919,915**	**29,051,940**	**7,411,883**	**6,922,664**	**29,061,293**	**7,416,253**
2	**Interest expenses**						
2.1	Customer deposits	1,273,813	6,126,393	1,760,848	1,273,813	6,126,393	1,760,848
2.2	Deposits and placements with banking institutions	191,646	965,455	269,006	186,000	942,489	266,001
2.3	Other interest expenses	-	-	-	-	-	-
2.4	**Total interest expenses**	**1,465,459**	**7,091,848**	**2,029,854**	**1,459,813**	**7,068,882**	**2,026,849**
3	**Net interest income**	**5,454,456**	**21,960,092**	**5,382,029**	**5,462,851**	**21,992,411**	**5,389,404**
4	**Non - interest income**						
4.1	Fees and commissions income on loans & advances	172,497	1,052,491	359,090	172,497	1,052,491	359,090
4.2	Other fees and commissions	1,027,147	4,051,940	989,684	1,188,482	4,572,316	1,160,116
4.3	Foreign exchange trading income	759,611	3,279,548	775,710	759,611	3,279,548	775,710
4.4	Dividend income	-	-	-	-	-	-
4.5	Other income	129,496	797,715	269,218	129,497	797,715	269,218
4.6	**Total non-interest income**	**2,088,751**	**9,181,694**	**2,393,702**	**2,250,087**	**9,702,070**	**2,564,134**
5	**Total operating income**	**7,543,207**	**31,141,786**	**7,775,731**	**7,712,938**	**31,694,481**	**7,953,538**
6	**Operating expenses**						
6.1	Loan loss provision	575,482	3,870,757	636,675	575,482	3,870,757	636,675
6.2	Staff costs	2,727,470	9,647,106	2,301,689	2,754,664	9,768,076	2,336,106
6.3	Directors emoluments	36,243	147,115	37,167	36,243	152,761	38,707
6.4	Rental charge	277,693	1,137,573	156,477	279,066	1,150,784	148,511
6.5	Depreciation on property and equipment	210,727	792,031	281,926	210,727	792,031	281,926
6.6	Amortisation charges	105,132	407,066	100,606	105,132	407,066	100,606
6.7	Other operating expenses	1,034,464	4,890,066	1,369,951	1,039,030	4,907,275	1,382,407
7	**Total operating expenses**	**4,967,211**	**20,891,714**	**4,884,491**	**5,000,344**	**21,048,750**	**4,924,938**
	Profit before tax and exceptional items	**2,575,996**	**10,250,072**	**2,891,240**	**2,712,594**	**10,645,731**	**3,028,600**
8	Exceptional items	-	-	243,410	-	-	243,410
9	**Profit after exceptional items**	**2,575,996**	**10,250,072**	**2,647,830**	**2,712,594**	**10,645,731**	**2,785,190**
10	Current tax	(937,249)	(3,810,433)	(1,134,948)	(985,051)	(3,942,754)	(1,181,590)
11	Deferred tax	146,389	704,485	287,416	154,882	713,065	296,050
12	**Profit after tax and exceptional items**	**1,785,136**	**7,144,124**	**1,800,298**	**1,882,425**	**7,416,042**	**1,899,650**
13	**Other comprehensive income**						
13.1	Gains/(losses) from translating the financial statements of foreign operations	-	-	-	-	-	-
13.2	Fair value changes in available for sale financial assets	20,422	395,889	203,853	19,984	398,184	205,414
13.3	Revaluation surplus on property, plant and equipment	-	-	-	-	-	-
13.4	Share of other comprehensive income of associates	-	-	-	-	-	-
13.5	Income tax relating to components of other comprehensive income	(6,127)	(118,766)	(61,156)	(5,995)	(119,455)	(61,624)
14	**Other comprehensive income for the year net of tax**	14,295	277,123	142,697	13,989	278,729	143,790
15	**Total comprehensive income for the year**	**1,799,431**	**7,421,247**	**1,942,995**	**1,896,414**	**7,694,771**	**2,043,440**
	Earnings per share (Shs)	0.33	1.32	0.33	0.35	1.37	0.35
	Dividends per share (Shs)	-	1.10	-	-	1.10	-

		Bank		
		March 2018 Shs '000 Unaudited	December 2018 Shs '000 Audited	March 2019 Shs '000 Unaudited
III	**Other disclosures**			
1)	**Non-performing loans and advances**			
a)	Gross non-performing loans and advances	12,629,491	13,910,314	15,415,660
b)	Less: Interest in suspense	3,332,688	3,086,729	2,995,035
c)	Total non-performing loans and advances	9,296,803	10,823,585	12,420,625
d)	Less: Loan loss provisions	5,717,974	6,543,088	7,454,825
e)	Net non-performing loans(c-d)	3,578,829	4,280,497	4,965,800
f)	Discounted value of securities	1,700,954	1,497,300	2,367,319
g)	**Net NPLs (excess)/exposure(e-f)**	**1,877,875**	**2,783,197**	**2,598,481**
2)	**Insider loans and advances**			
a)	Directors ,shareholders and associates	42,866	40,764	40,286
b)	Employees	11,233,471	10,652,129	10,457,027
c)	**Total insider loans and advances**	**11,276,337**	**10,692,893**	**10,497,313**
3)	**Off balance sheet items**			
a)	Letters of credit ,guarantees, acceptances	24,039,028	28,371,577	22,212,163
b)	Forwards, swaps and options	49,410,773	69,777,052	67,256,267
c)	Other contingent liabilities	-	-	-
	Total contingent liabilities	**73,449,801**	**98,148,629**	**89,468,430**
4)	**Capital strength**			
a)	Core capital	37,929,158	37,788,041	38,489,401
b)	Minimum statutory capital	1,000,000	1,000,000	1,000,000
c)	**Excess/(deficiency)**	**36,929,158**	**36,788,041**	**37,489,401**
d)	Supplementary capital	5,038,949	5,092,278	5,040,122
e)	**Total capital**	**42,968,107**	**42,880,319**	**43,529,523**
f)	**Total risk weighted assets**	**250,482,913**	**261,752,219**	**263,256,798**
g)	Core capital/total deposit liabilities	19.6%	18.2%	17.3%
h)	Minimum statutory ratio	8.0%	8.0%	8.0%
i)	**Excess/(deficiency)**	**11.6%**	**10.2%**	**9.3%**
j)	Core capital/total risk weighted assets	15.1%	14.4%	14.6%
k)	Minimum statutory ratio	10.5%	10.5%	10.5%
l)	**Excess/(deficiency)**	**4.6%**	**3.9%**	**4.1%**
m)	Total capital/total risk weighted assets	17.2%	16.4%	16.5%
n)	Minimum statutory ratio	14.5%	14.5%	14.5%
o)	**Excess/(deficiency)**	**2.7%**	**1.9%**	**2.0%**
p)	Adjusted core capital/total deposit liabilities	21.0%	18.6%	17.5%
q)	Adjusted core capital/total risk weighted assets	16.2%	14.7%	14.8%
r)	Adjusted total capital/total risk weighted assets	18.2%	16.7%	16.7%
5)	**Liquidity**			
a)	Liquidity ratio	36.2%	35.7%	41.1%
b)	Minimum statutory ratio	20.0%	20.0%	20.0%
c)	**Excess/(deficiency)**	**16.2%**	**15.7%**	**21.1%**

Message from the Directors:

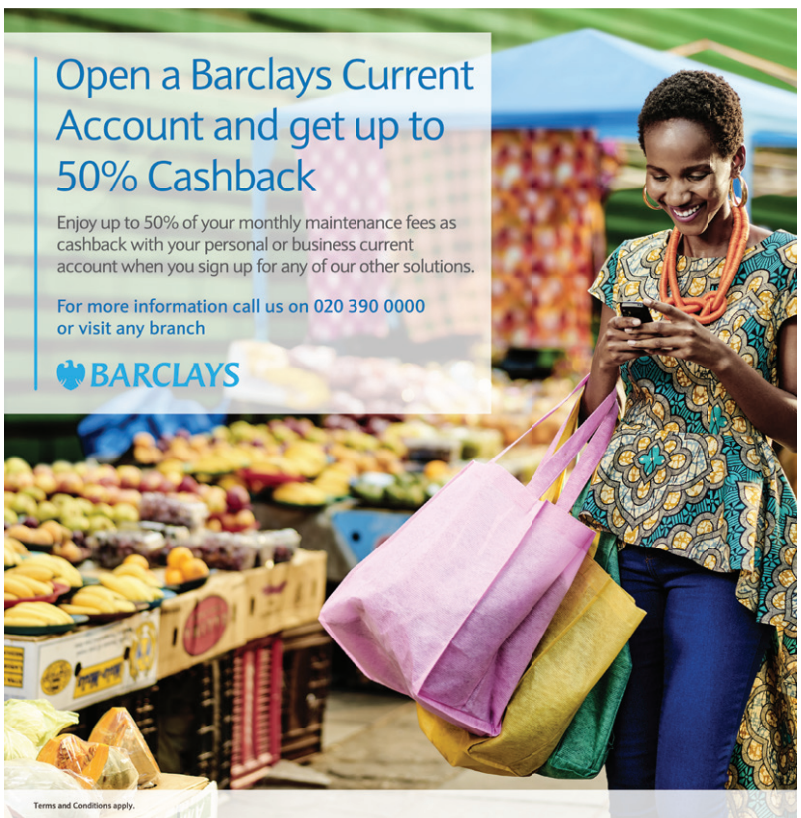
The separation from Barclays PLC will have an impact on Barclays Kenya's financial results over the next 2 years. This includes a substantial change in spend as we invest in systems required to be separated, the transitional service agreements costs we pay to Barclays PLC for the provision of various services during the separation period together with the costs that we shall incur for rebranding. In this quarter, we have reported separation costs of Shs 243 million; this is an exceptional item and will be incurred throughout the separation period.

These financial statements are extracts from the books of the institution and can be accessed on the institution's website www.barclays.co.ke. They may also be accessed at the institution's head office at The Westend Building, Waiyaki Way.

They were approved by the board on Wednesday 29 May 2019 and signed on its behalf by:

Charles Muchene
Chairman

Jeremy Awori
Managing Director



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